Market Insights

Weekly Market Commentary

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November 10th, 2025

TRADING
AT GEORGIA TECH

» Sarvesh Tiku, Head of Market Insights

Global Financial Markets Weekly Review: Week Ending Nov. 10, 2025

Equities: U.S. equities posted mixed performance this week as defensive sectors continued to lead amid tightening liquidity and ongoing government shutdown risks. The S&P 500 finished nearly flat (+0.2%), while the Dow Jones Industrial Average added 0.4% and the Nasdaq Composite slipped 0.3%. Healthcare (XLV +1.3%) and Financials (XLF +1.4%) outperformed on stable earnings and dividend resilience, whereas Consumer Discretionary (XLY −2.6%) lagged following weakness in Tesla and retail-linked names. Overall, market breadth remained narrow, with roughly 56% of S&P constituents trading above their 50-day averages as investors awaited November inflation data for further direction.

Fixed Income: Bond markets were broadly stable, supported by moderating inflation and persistent expectations of additional Federal Reserve easing. The 2-year Treasury yield declined 6 bps to 3.48%, while the 10-year eased 4 bps to 4.10%. Corporate spreads tightened roughly 5 bps on the week as demand for high-grade credit remained firm. Mortgage-backed securities advanced 0.3% amid cooling inflation prints, though refinancing activity capped upside. Money-market and short-term Treasury instruments continued to yield near 4%, but investor flows showed a gradual rotation into intermediate-duration ETFs as markets priced a 70% probability of a December rate cut.

Commodities: Energy and metals markets diverged sharply. Brent crude surged 7.2% w/w to $65.87 per barrel after new U.S. sanctions on Rosneft and Lukoil triggered supply concerns, while WTI rose 4.5% to $61.03. Conversely, U.S. natural gas prices fell 3.8% to $3.38/MMBtu on high storage levels (+33 Bcf build) and mild weather forecasts. Precious metals saw profit-taking—gold (XAU/USD) retreated 5.1% from record highs above $3,100/oz, while silver rose 4.0% to $34.80 on industrial demand. Agricultural markets traded mixed: soybeans gained 1.8% amid U.S.–China trade optimism, whereas corn slipped 0.9% on strong U.S. yield forecasts of 186 bushels/acre. Power markets remained volatile, with SPP day-ahead prices oscillating between −$50 and $3,000/MWh amid wind-generation outages.

Currencies: Currency markets reflected widening policy divergence. The U.S. Dollar Index (DXY) gained 0.6% on the week, bolstered by stronger real yields. The British pound rose 0.9% to 1.33 as softer U.S. inflation data spurred risk appetite, while the euro held near 1.17 (−0.2%) amid mixed ECB signals. The Japanese yen weakened 0.5% to 153.4 per USD as carry trades remained enticing and the BoJ signaled policy patience. The Canadian dollar fell 1.1% to 1.403 amid declining oil prices and increased expectations of BoC easing. Overall, FX volatility (as measured by the CVIX) ticked up to 6.7 from 6.3 the prior week as traders re-priced rate differentials into year-end.

» Krish Soni, Equities Analyst

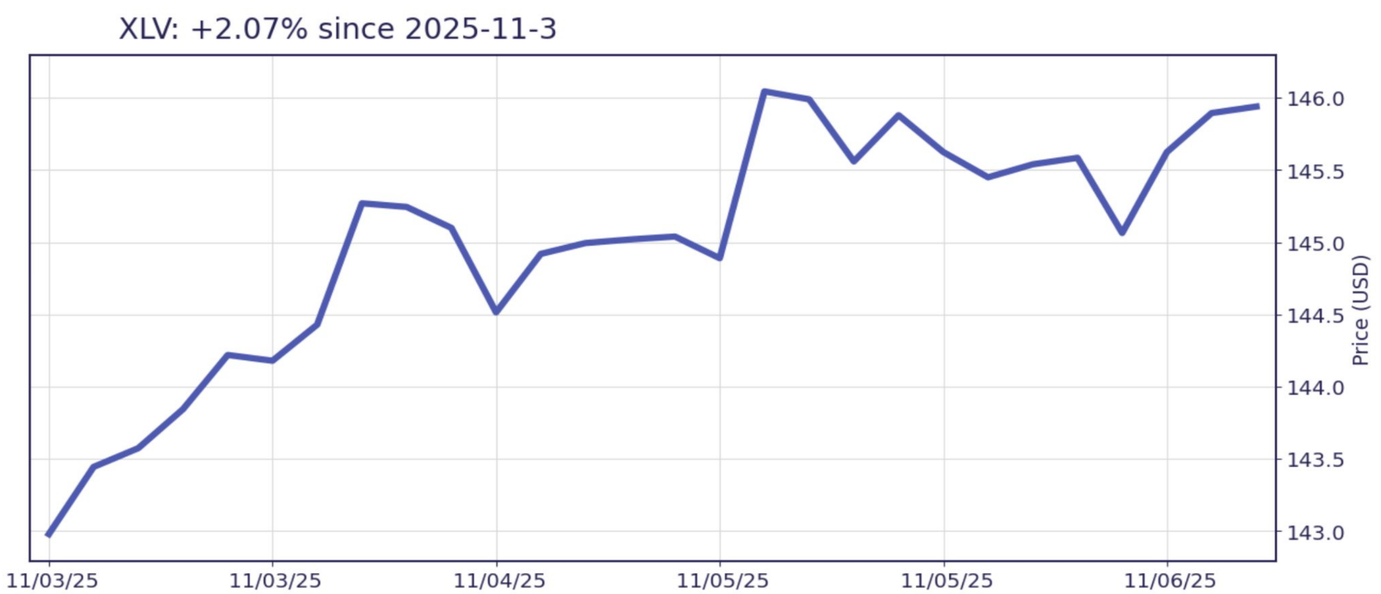
Healthcare Holds Steady: XLV Climbs Amid Volatile Market Conditions

Over the week starting November 3, 2025, XLV began near the $144.25 mark. From its October-end level of about US$146.03 and a 52-week range spanning US$127.35 to US$150.95, the fund entered the week in the upper portion of its range. By the end of the week, the fund showed modest positive movement relative to many peers, gaining around +1.3% for the week. Structurally, XLV is well diversified across the U.S. large-cap healthcare space, and the fund's dividend yield stood near 1.7%–1.8% with a lower expense ratio: 0.08%. This adds to its appeal for investors seeking broad healthcare exposure without high fees, and reflects the sector's defensive tilt in a broadly volatile market environment.

The performance this week, though not spectacular, is noteworthy for a few reasons. First, healthcare remains one of the more stable sectors when broader cyclical volatility sets in, which likely explains XLV's relative outperformance. Second, recent sector-specific catalysts may support further upside: for instance, analysts at Morningstar and Morgan Stanley are increasingly bullish on the healthcare sector, highlighting that earnings growth from mid-2024 to mid-2025 has outpaced the broader U.S. market even as valuations lag—pointing to a potential rebound. Moreover, a September/October deal between Pfizer Inc. and U.S. government authorities to lower prescription drug prices in exchange for tariff relief helped ease policy uncertainty and provided a positive signal for the sector globally. At the same time, broader macro cues are supportive: with the Federal Reserve initiating interest-rate cuts in 2025, analysts note that defensive sectors like healthcare historically respond well under such environments.

However, risks remain and temper the near-term outlook. Regulatory and pricing pressures continue to loom with drug-pricing reform, government reimbursement policy and cost inflation all cited as headwinds. That suggests while the defensive nature of healthcare is appreciated, investors remain cautious, which helps explain the modest gain rather than a breakout.

In sum, for the week of November 3–7, XLV's gain of roughly +1 % places it among the stronger sectors in a tepid market. Its diversified structure, low-fee profile, and defensive character make it a practical option for investors seeking broad exposure to U.S. healthcare and a hedge in uncertain times. At the same time, the sector's fundamentals appear to be improving with regulatory clarity and macro tailwinds emerging—positions that could enhance performance going forward—while the persistent regulatory and cost pressures impose a ceiling.

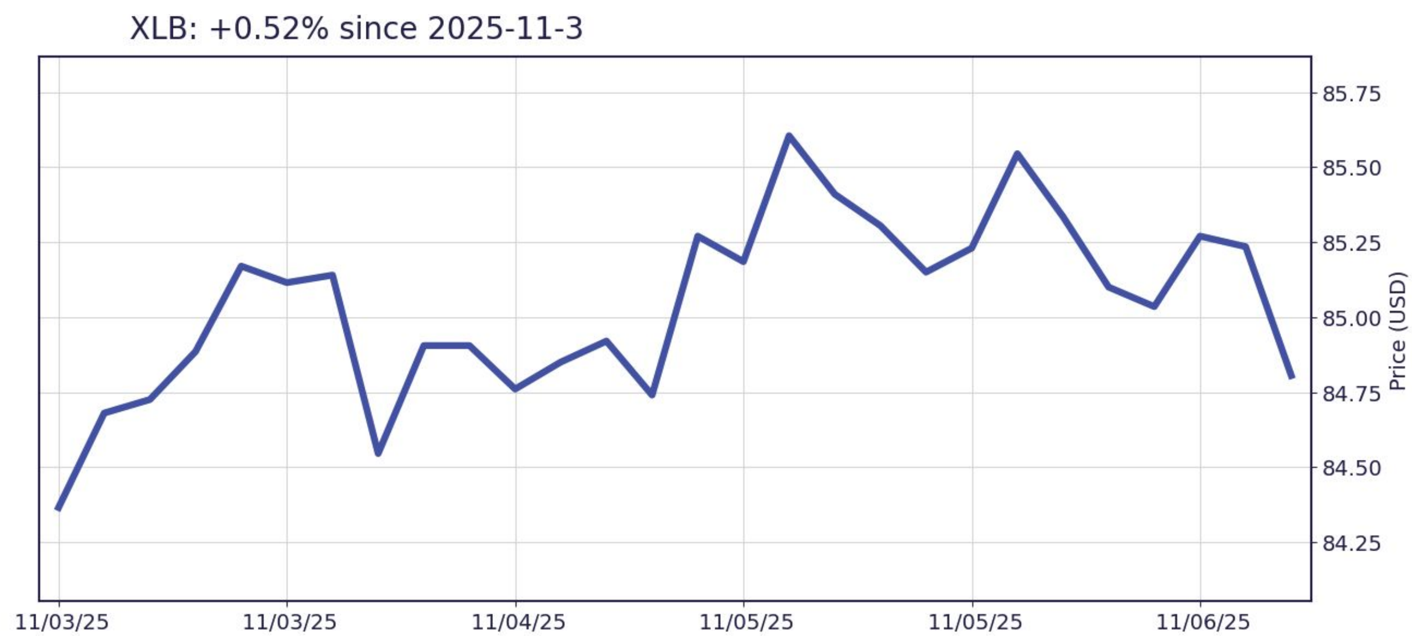


» Rudra Gopal, Equities Analyst

XLB Holds Firm as Market Eyes Fed Policy, Metal Prices, and Earnings Guidance

The Materials Select Sector SPDR Fund (XLB) ended this week at around $85.82, following a dip during mid-week and rebounding by Friday. The ETF remains below its 50-day (around $90) and 200-day (~$98) moving averages. Macroeconomic factors set the backdrop for materials this week. The Federal Reserve's rate cut by quarter points in late October and the hopes of another by the year-end kept the risk sentiment afloat, thus, weakening the dollar and boosting commodity prices. Gold prices, for instance, surged above $4000 per ounce to record highs, while industrial metals like copper and iron ore also climbed on optimism for demand. These gains helped the materials sector outperform, even as manufacturing data remained soft and oil prices pulled back on oversupply concerns. Moreover, a temporary U.S.-China trade truce and easing tensions around critical minerals exports further added to the sector's tailwinds.

Earnings and stock-specific news drove several key XLB components. Industrial gas leader Linde delivered strong results as its earnings per share reached an all-time high of $4.21, and the paint maker Sherwin-Williams saw net sales rise about 3% with adjusted profit up 6.5% year-over-year. In contrast, Air Products & Chemicals narrowly missed expectations for the quarter, and its shares have lagged amid softer performance. Steelmaker Nucor significantly outpaced forecasts with strong third-quarter earnings, though management warned that fourth-quarter results will ease due to seasonal factors. Meanwhile, Newmont contributed to industry consolidation trends by raising roughly $439 million through the sale of a mining stake, as bullion's rally bolstered the outlook for gold miners.

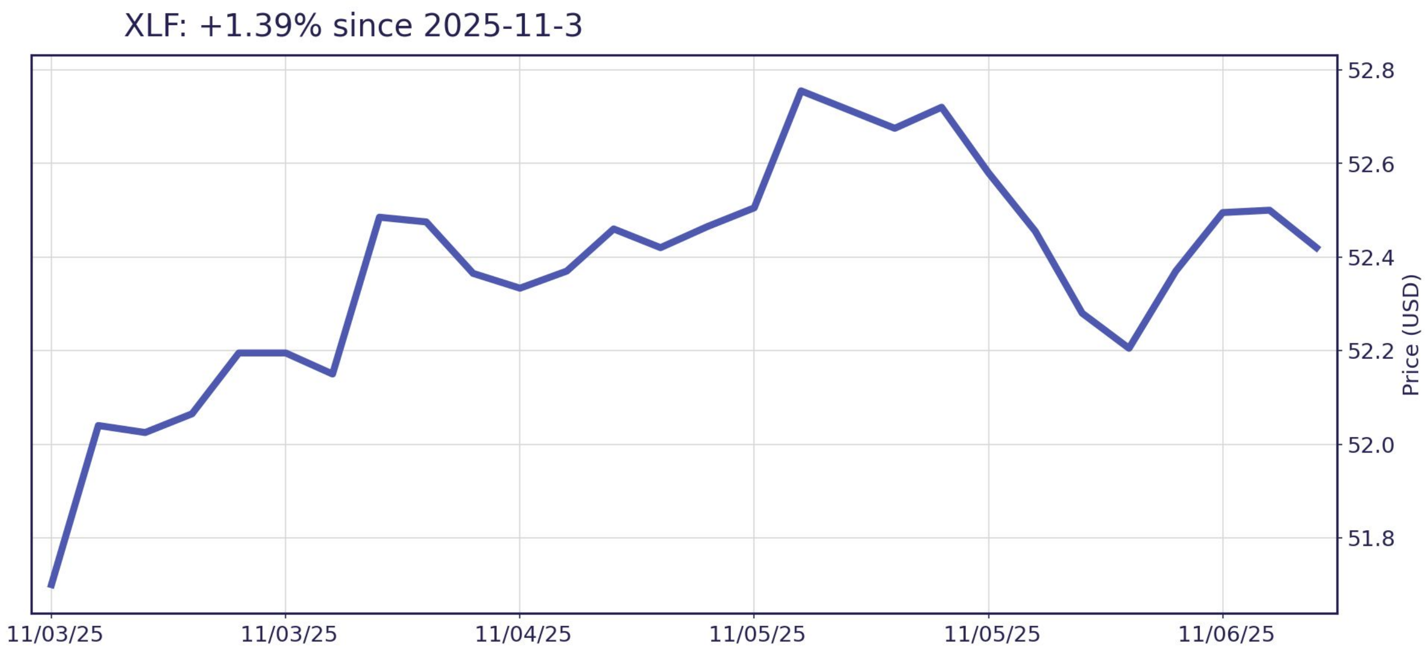


» Boyang Gong, Equities Analyst

XLF Outperforms Market Amid Data Blackout and Fed Uncertainty

The Financial Select Sector SPDR (XLF) Fund finished a volatile week up 1.39%, closing Friday at $52.78. The fund started the week strong, peaking on Wednesday 11/05 before giving back some gains late in the week. Ultimately, there is a 0.71% gain on Friday. This positive performance was a notable divergence from the broader market, as the fund significantly outperformed the S&P 500 which finished the 5-day period in negative territory. The financial sector's volatility was driven by investor caution surrounding an ongoing government shutdown and lingering uncertainty from the Federal Reserve. Investors entered the week still proceeding the Federal Reserve's 25 basis point rate cut from the previous week on 10/29. While the cut helped fuel the market's rally early in the week, Fed Chair Jerome Powell's comments that another rate cut in December was "not a foregone conclusion" weighed on sentiment which might cause the mid-week pullback. This uncertainty was amplified by the ongoing federal government shutdown, which has resulted in a dearth of economic data. With official data like the "Jobs Report" delayed, investors were left flying blind, solely relying on private sector reports for direction.

Looking at top holdings, Berkshire Hathaway (BRK.b), the fund's largest component at 12.11%, was in focus. The company reported earnings over the weekend on 11/1, posting strong operating profits. However, the market reacted cautiously on Monday, as Berkshire's cash pile swelled to a record high of over $382 billion. This was seen as a cautious signal from Warren Buffett, suggesting a lack of buying opportunities. Despite the muted open, BRK.b rallied and finished the week strong, up 1.20% on Friday. The rest of the sector was a mixed bag by Friday's close. Wells Fargo and JP Morgan Chase showed strength. However, major banks like Bank of America and payment processors Visa (V) and Mastercard (MA) all finished the day in the red.



» Michael Pham, Equities Analyst

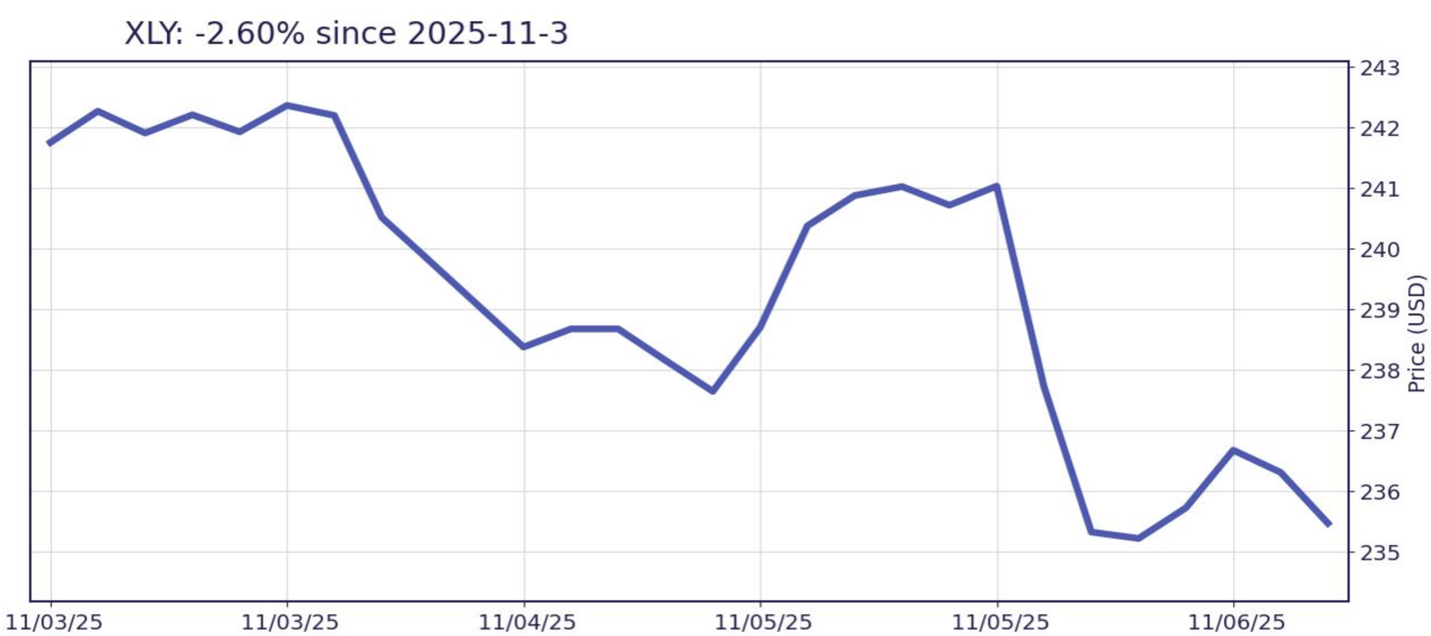
XLY Slips as Consumer Weakness and Labor Concerns gloom

The Consumer Discretionary Select (SPDR) XLY Fund reported a 2.60% drop over the week from 11/3 to 11/7, which can be attributed to a combination of multiple factors: company-level weakness in the S&P 500 and the ongoing government shutdown, which has led to multiple furloughs and caused paychecks to be withheld and the overall labor force to be weakened. The line of the XLY has mirrored the S&P, with both showing a comeback on 11/05, but then sharply dropping.

Part of this is due to Tesla, as Reuters reported Tesla acted a drag on the S&P last week, and the consumer discretionary index fell by nearly 1.4% that day. Large components of the S&P moving down can materially pull XLY down, since XLY is concentrated in big companies and names, like Amazon, Tesla, Home Depot, and McDonald's.

Additionally, the ongoing government shutdown has led to much fear and anxiety in the American workforce, and it also caused the BLS jobs report to be withheld on 11/03, which left markets "flying blind" without verifiable data to back up their business decisions. This is likely a significant driver in the fall from 11/03 to 11/04. Reports also show rising job cuts and significant layoffs, which was also likely a significant contributor to the weakening job force.

Lastly, the consumer discretionary sector had already led markets into early highs in October, so it is only to be expected that there is some modest pullback. This is consistent with traders taking their profit after a run, so not all of it may be because of the shutdown or companies struggling.



Commodities - Natural Gas

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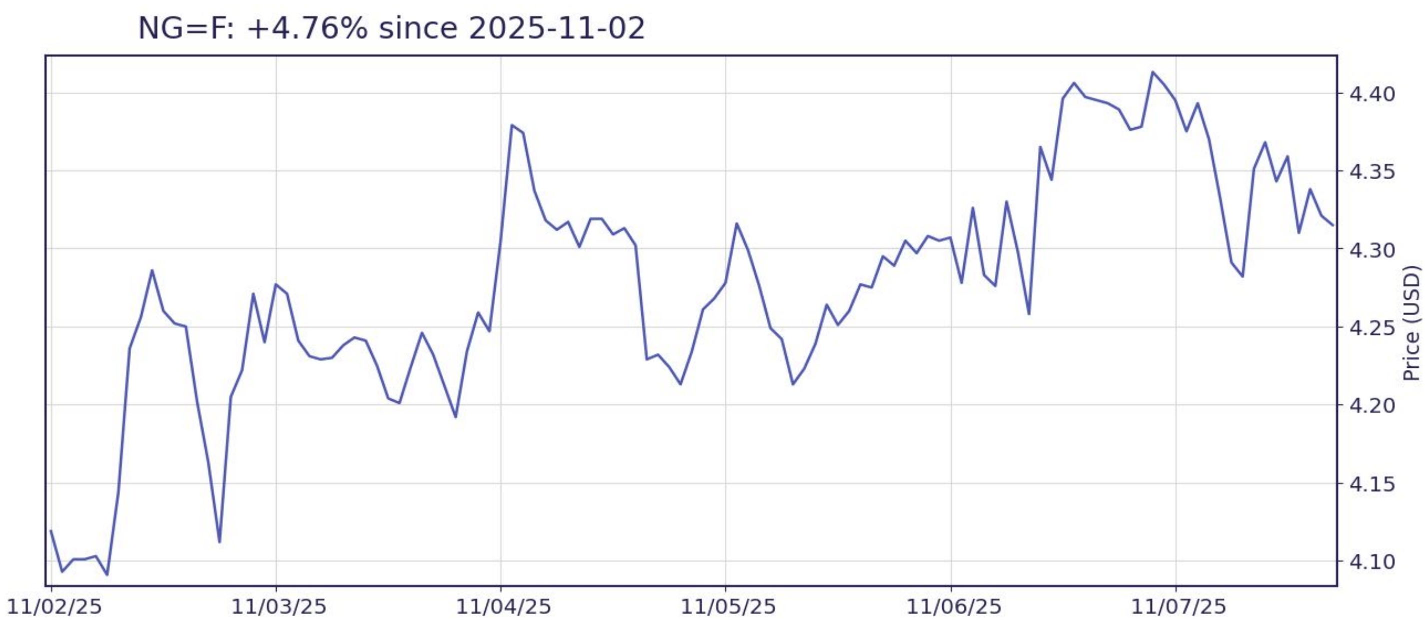
» Dev Patel, Commodities Analyst

Natural Gas Reaches $4.32 as LNG Exports and Winter Outlook Drive Market

Natural gas climbed again this week, with Henry Hub futures closing near $4.32/MMBtu, up roughly 4.8 percent from last week. This comes after a 2.3% decrease from the Wednesday peak of $4.42/MMBtu, which came from early week models showing a strong cold push. However, following reports of rising domestic production and a warmer winter, the market has been neutralizing bullish momentum and pushed the market into support levels between $4.19 and $4.20. Recent, models show above normal temperatures across the lower 48 states, helping curb heating demand.

The newest EIA storage report showed a ~33 Bcf injection, bringing total inventories to 3,915 Bcf, still about 4 percent above the five-year average. Meanwhile, U.S. domestic production continues to expand, increasing drilling in the major basins of Marcellus Shale, Permian Basin and Haynesville Shale. In the near term, this means that while inventories remain elevated and production strong, the growing export demand backdrop keeps bullish scenarios alive.

New weather models are putting downward pressure on the front month contracts, with the December natural gas contract facing resistance near $4.45 and support around $4.19. Prices recently fell below the 50% retracement level at $4.336, keeping the short-term trend slightly bearish, while momentum indicators like MACD are negative. RSI is at 44, showing the market isn’t oversold yet and could move lower. If prices break above $4.45, a rebound toward $4.65–$4.72 is possible, but a drop below $4.19 could target $3.97. However, long-term fundamentals remain strong, driven by growing LNG exports, AI-related electricity demand, and ongoing infrastructure expansion, supporting potential upside to about $5.20/MMBtu by 2026–2027.



Commodities - WTI Crude Oil

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» Shruti Satheesh, Commodities Analyst

WTI Crude Oil Closing the Market Week in a Bearish-Sentiment: Dipping below $59 per barrel

WTI Crude Oil futures concluded the week on a bearish note. The price per barrel settled at $59.84 at the end of this market week. In particular, this market week began with a relatively stable price of $61.13 per barrel. Still, midweek, selling pressures intensified, followed by slower industrial activity in China and an increase in U.S. crude inventories. The U.S Energy Information Administration's reports revealed that commercial crude oil inventories rose by 5.2 million barrels to a total of 421.2 million barrels this week. Looking from a long-term perspective, this increase is roughly 4% below the five-year average. This increase in inventories sparked renewed worries about short-term demand among investors and became the reason for this week's heightened market volatility.

By mid-market week, prices dipped below $59 per barrel and marking the lowest point of the week. However, bargain hunters and short-term technical buyers emerged on Thursday and Friday, which helped close the price at $59.8 by the end of the week. Overall, this market week reflected a bearish sentiment amid broader concerns regarding OPEC+ production strategy and overall global economic prospects.

For the upcoming weeks, market participants will keep a close eye on EIA's reports and OPEC+ policy meetings. These observations will direct the traders along the right path and determine whether the current downward trend might persist into the upcoming delivery month.

» Shrey Desai, Commodities Analyst

High Projected Corn Yields Limits Price Growth

Corn futures experienced moderate losses over the past week, slipping from a midweek high near $4.35/bushel to close at $4.27 1/4, reflecting a drop of over 4 cents during the week. The national average cash price finished just under $3.90, also modestly lower week-on-week. Increasing US corn exports and domestic demand for ethanol helped provide initial support to prices at the beginning of the week. However, high projected U.S. yields at 186 bushels/acre and strong harvest progress limited further upside, as favorable weather later in the season, including slightly above-normal rainfall and consistent heat helped bolster corn production.
Though drought concerns about dry weather in Brazil and Argentina tightened supply, global corn production outlook remains large enough to keep overall supply ample in the market.

Due to global supply balancing out ethanol demand and increasing exports, the near-term outlook appears neutral to slightly bearish. Any worsening of dry conditions in South America (Brazil and Argentina) could decrease exportable supplies and support prices. Conversely, favorable weather may maintain bearish pressures. In the US, upcoming supply and demand forecasts, including the November WASDE report, could shift market expectations on yield, stocks, and export demand.

Fixed Income - Janus Henderson ETF

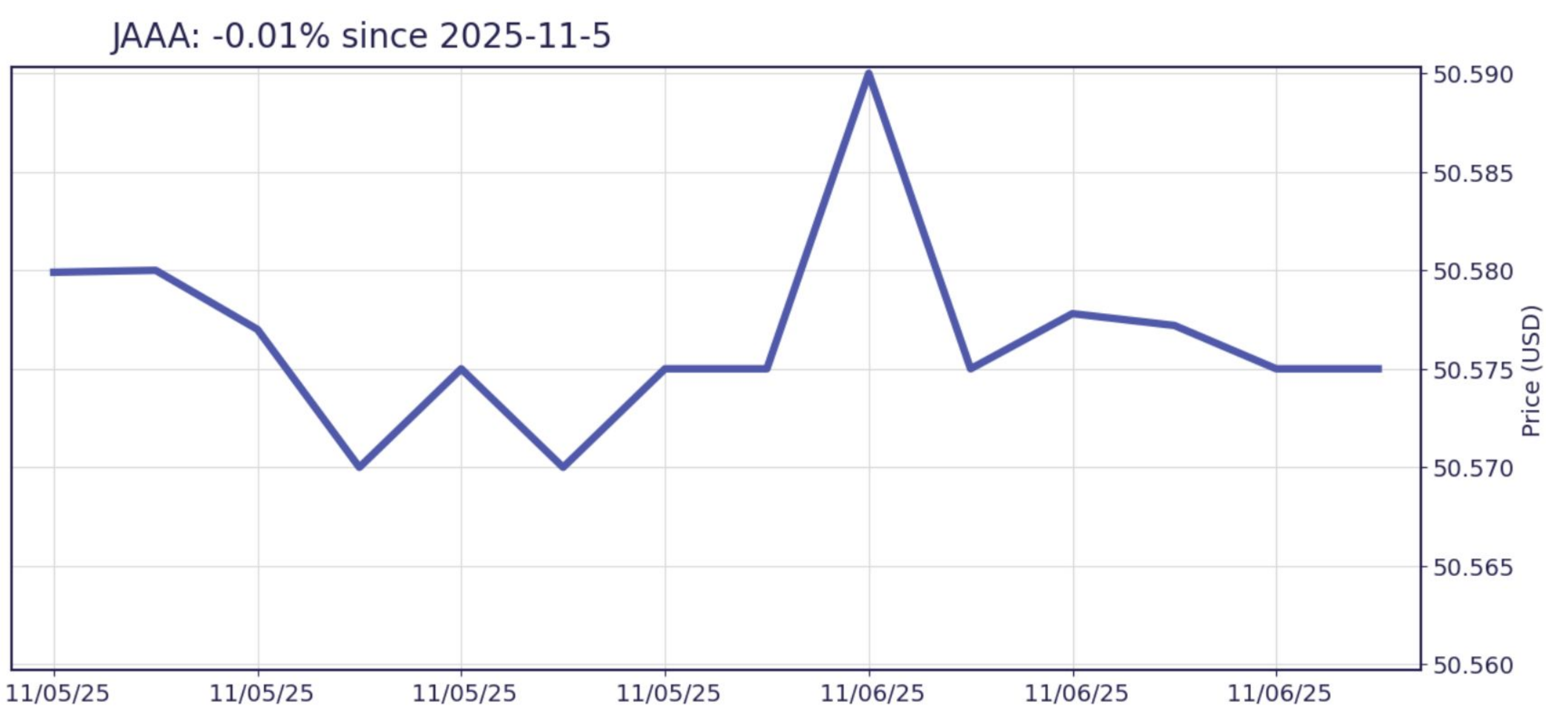
» Sahaj Patadia, Fixed Income Analyst

Floating-Rate Resilience in AAA-Rated CLOs Amid a High-Rate Environment

The Janus Henderson AAA CLO ETF (JAAA) has continued to demonstrate strong stability and attractive income generation as markets adjust to a prolonged lower interest rates. By investing primarily in AAA-rated tranches of collateralized loan obligations (CLO), the fund provides investors exposure to high-quality, floating rate instruments that benefit from elevated short term rates while maintaining minimal credit risk.

Since August of 2024, JAAA has risen about +6.2% and even in the past week. The ETF's floating rate structure has allowed it to outperform traditional fixed-rate bonds which are also under pressure from the rate-cuts recently. With this

From a portfolio construction standpoint, JAA acts a a defensive allocation within fixed income by offering a short duration profile and a current yield near 5%. The funds $25 billion assets under management reflects strong institutional demand for credit instruments   with limited spread risk and collateral protection. Looking forward, CLO spreads have tightened as investor appetite for structured credit remains high, but JAAA's conservative positioning in senior tranches offers stability even if credit conditions weaken which is the reason why JAAA remains a compelling instrument for investors to invest in.



» Shivam Chopra, Fixed Income Analyst

From Easing Hopes to Term-Premium Reality: Long-End Yields Reprice

The iShares 10–20 Year Treasury Bond ETF (TLH) tracks longer-dated U.S. Treasuries and carries an effective duration of about 12 years, making it highly sensitive to moves in term premium and long-term yields. Since early September, TLH has gained roughly 3.3% as falling short-term rates and expectations of Fed easing supported demand for duration. The 10-year yield dropped from 4.28% to 3.99% by late October, while the 20-year fell from 4.92% to 4.53%.

Momentum shifted after the Fed's October 29th meeting. The central bank cut rates by 25 basis points but described the move as a "calibration," not the start of an easing cycle. With that message, investors began to price in fewer future cuts and higher long-term real yields, lifting the term premium and pushing TLH lower in the final week of October. As of 7th November, the 10-year yield has edged back up to about 4.1%, while the 20-year sits near 4.7%, reflecting the renewed steepening in the curve.

The lack of official labor data during the government shutdown added uncertainty. Private reports gave mixed signals, with modest hiring in the ADP survey but a sharp rise in layoff announcements from Challenger and Gray. Markets were left unsure about the true pace of job growth. Combined with the Fed's cautious tone, this has kept expectations for another rate cut uncertain, with December probabilities now hovering between 60 and 70 % (earlier 90%).

Going forward, once the shutdown ends, inflation and labor data will likely drive the curve. Persistent inflation near 3% and soft job growth could keep the term premium elevated and pressure long-duration Treasuries like TLH in the weeks ahead.

» Javad Aslanov, Fixed Income Analyst

SPTI Intermediate term treasuries

Intermediate Treasuries in SPTI's range have been moving mostly on Fed signals and a patchy data calendar. The Fed has shifted to an easier stance, but it didn't promise a long series of cuts, so traders are still testing how far policy will really go. With some economic releases delayed, the September inflation print has garnered immense attention showing progress of the kind that doesn't yet allow for markets to rebalance, so rates in the 3–10 year area stayed sensitive to every hint from the Fed which is exactly the part of the curve SPTI tracks.

At the same time, investors were watching the Treasury supply as the recent refunding took place. Treasury's November refunding kept coupon auction sizes steady for now, but it also flagged large borrowing needs for the quarter. As a result, the market continues to ask whether additional issuance will become necessary in the future. This question is particularly important because any increase in supply could force investors to require higher yields in the 3–10 year segment which is precisely the maturity range held by SPTI. If Treasury issuance remains well-managed and inflation continues to moderate, SPTI is positioned to benefit from a more supportive Federal Reserve policy environment. However, if inflation starts to creep up again or the Treasury's borrowing shows signs of growing unexpectedly, yields could climb and put pressure on SPTI.

SPTI: +0.52% since 2025-9-1

» Khalil Ben Zina, Fixed Income Analyst

VanEck Fallen Angel High Yield Bond ETF (ANGL)

The ANGL (VanEck Fallen Angel High Yield Bond ETF) tracks the ICE U.S. Fallen Angel High Yield 10% Constrained Index, which focuses on corporate bonds that were originally investment grade but later downgraded to high yield. As of early November 2025, the fund manages around $3.4 billion in assets, with an average duration of about 6.2 years and a yield to maturity near 7.1 %. Its 30-day SEC yield stands close to 6.8 %, and year-to-date performance is up roughly +6.3 %, outpacing the broader high-yield market as credit spreads have steadily tightened through the fall.

ANGL's strong performance this quarter reflects growing investor appetite for yield while maintaining exposure to stronger balance sheets within the high-yield space. "Fallen angel" bonds often outperform traditional junk debt during recovery phases since many downgraded issuers—especially in sectors like energy, telecom, and financials—still have solid fundamentals. Spreads have narrowed to around 325 basis points, their lowest level in nearly two years, supported by resilient earnings and easing inflation expectations. Still, valuations are looking stretched, and any slowdown in growth or increase in refinancing costs could add pressure heading into 2026. Overall, ANGL remains a solid play for investors seeking higher income with moderate credit quality, but it requires close attention to shifts in market sentiment and Fed policy direction.

Fixed Income - Short Maturity Bond ETF

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» Shrutee Sangeeta Behera, Fixed Income Analyst

iShares NEAR: Balancing Yield and Liquidity in a High-Rate Market

The iShares Short Maturity Bond ETF (NEAR) is a fixed-income fund that's actively managed by BlackRock. Since September 1, 2025, its price has risen by about .22%, a steady uptick that's reflective of a much broader market trend of increased demand for short-maturity ETFs. After facing persistent volatility in longer-term treasuries, investors have been seeking both higher yields and limited duration exposure. With an effective duration of less than 2 years and an expense ratio of .25%, NEAR is positioned to give investors an opportunity to earn stable returns while limiting interest rate risk. The fund's current 30-day SEC yield is around 4%, making it an attractive option for investors looking to earn stable income without committing to long-term bonds.

NEAR's low-duration allocation is incredibly useful for investors seeking returns with relatively less volatility in a higher-rate environment. As an instrument that offers the flexibility of managing liquidity while maintaining yield potential, NEAR has become an increasingly attractive option for investors.

» Akaash Dash, Fixed Income Analyst

Emerging Market Bonds Rally With Geopolitical De-escalation

The iShares J.P. Morgan USD Emerging Markets Bond ETF (EMB) provides exposure to USD denominated sovereign and quasi-sovereign bonds from emerging market countries.

From early September through mid October, EMB traded in a narrow range between $94.50 and $95.75, reflecting investor caution due to heightened US-China trade tensions and the Federal Reserve's higher interest rate stance. Many EM central banks also faced inflationary pressure from currency depreciation and imported commodity costs, creating a situation where EM bonds offered higher yields but with a supposed higher default risk.

This situation quickly changed starting October 10th, when signs of further Fed rate cuts and a US-China tariff truce led to rapid repositioning, causing EMB to rally 2.25% to a peak of just above $97. A smaller but notable jump occurred around November 5, when China's Ministry of Finance issued $4 billion in USD denominated sovereign bonds that attracted record demand of $118.2 billion. The 30x oversubscription ratio and tight pricing of just 0-2 basis points over similar Treasuries established new valuation levels that benefited existing Chinese USD debt within the EMBI Global Core Index.

Looking forward, EMB's valuation will depend on the durability of the tariff truce and Federal Reserve policy, as the recent rally was mostly driven by geopolitical risk repricing as opposed to fundamental improvements in emerging market creditworthiness.

EMB: +2.95% since 2025-9-1

Currencies - USD/JPY

» Gauri Sharma, Currencies Sector Head

Yen Slips as Fiscal Stimulus and Weak Data Challenge BoJ Tightening Outlook

This week, the Japanese Yen retreated from a one-week high against the US Dollar amid renewed doubts over the Bank of Japan's (BoJ) tightening path and new Prime Minister Sanae Takaichi's pro-stimulus stance. The USD/JPY pair fell about 0.51% since November 3, fluctuating between 152.8 and 154.4, as weaker Japanese household spending data (up 1.8% vs. 2.5% expected) reinforced expectations that the BoJ will delay rate hikes. Reports of a $65 billion stimulus package later this month further weighed on the Yen, signaling continued fiscal easing under the new administration and underscoring policymakers' caution amid cooling private consumption.

The US Dollar regained modest strength midweek after earlier losses, supported by hawkish remarks from several Federal Reserve officials and reduced market bets on aggressive rate cuts. However, prolonged concerns over the US government shutdown capped further gains and kept investor sentiment cautious. As a result, the pair traded choppily between 153.2–153.8, reflecting a temporary equilibrium between divergent policy expectations.

Technically, resistance is seen near 153.65-154.00, with support at 153.25 and stronger demand emerging at 152.10-152.00. A decisive break below 152.00 could trigger deeper losses, while a sustained rebound above 154.00 may pave the way toward 155.00-155.60. Overall, the Yen remains under pressure as Japan's policy clarity lags, intervention risks persist, and global traders look ahead to upcoming US inflation data for direction.

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» Shivam Chopra, Currencies Analyst

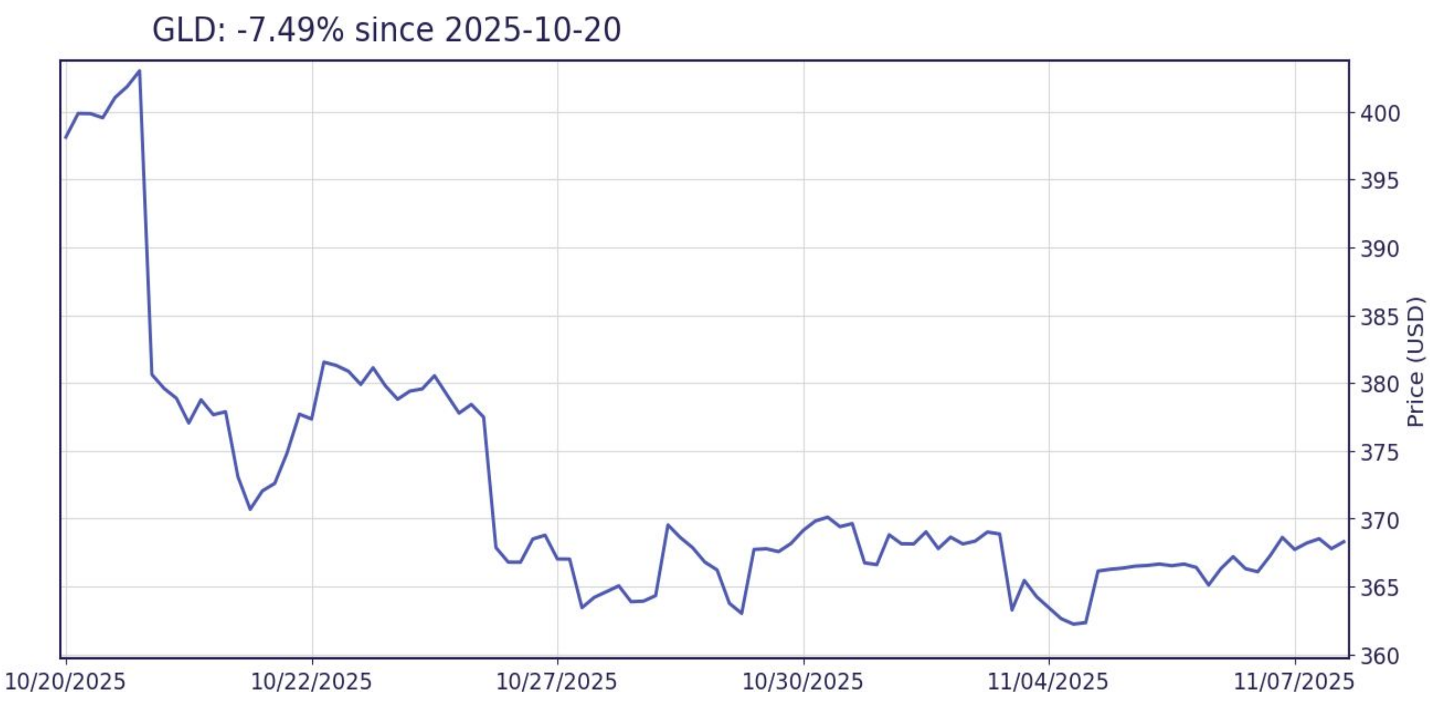
Gold Extends Losses as Higher Real Yields and Policy Uncertainty Weigh

Gold prices extended their decline this week, marking one of the steepest drops of the year as higher U.S. real yields and a stronger dollar kept investors cautious. Despite holding near $4,000 per ounce, the metal remains in a corrective phase following the Fed's cautious stance and fading hopes for near-term easing.

The recent Fed cut failed to weaken the dollar meaningfully, as Powell's remarks signaled patience on future policy moves and led traders to scale back expectations for another rate reduction in December. Rising real yields and renewed confidence in U.S. assets have drawn capital away from safe havens, putting pressure on gold even as inflation stays above target.

Strong equity markets and low volatility have further reduced defensive demand. Globally, investors are also tracking U.S. - China trade developments and upcoming data that could reset expectations for global growth and policy direction. At the same time, uncertainty around the U.S. labor picture adds to the mixed outlook, with official data delayed by the government shutdown.

Until clearer data emerge or markets see renewed signs of easing, gold is likely to remain range-bound, with sentiment driven more by shifting policy expectations and global trade signals than by fundamentals.



» Purvi Kathalkar, Currencies Analyst

Pound Slips as Dollar Strengthens, Reaching New Lows <1.31 in November

The GBP/USD had seen a steadily downward trend in the month of October, hovering around the mid-1.33 range. However, since the start of November, the British pound has weakened against the US dollar, slipping below 1.31.

In the United States, the Fed has signalled that rate cuts may come, but there is no guarantee on when to expect this advancement, therefore boosting the dollar. On the other hand, the Bank of England has faced questions over the UK government's budget and borrowing, which has weighed on the sterling. Overall, these indicate why the dollar might have been favored against the pound.

Along with signs of economic weakness from slower GDP growth and high unemployment levels, there are also possible expectations of Bank of England rate cuts, which have altogether undermined the pound. Comparatively, the dollar has benefited from relatively stronger yields as well as the Fed's policy stance which keeps sentiment high when it comes to the dollar. Even from a global trade aspect, the UK's budget and fiscal outlook US dollar have not helped the pound.

With the GBP/USD currently around 1.315, it seems as if the pair will continue its downward path if the US yields stay high. Conversely, a hawkish BoE stance could temporarily support the pound. For the future, it would be beneficial to watch the UK's inflation as well as any US economic releases that may influence the Fed. Word from the BoE or Fed on their upcoming policies and courses of action would also be useful.

» Kavya Adusumilli Currencies Analyst

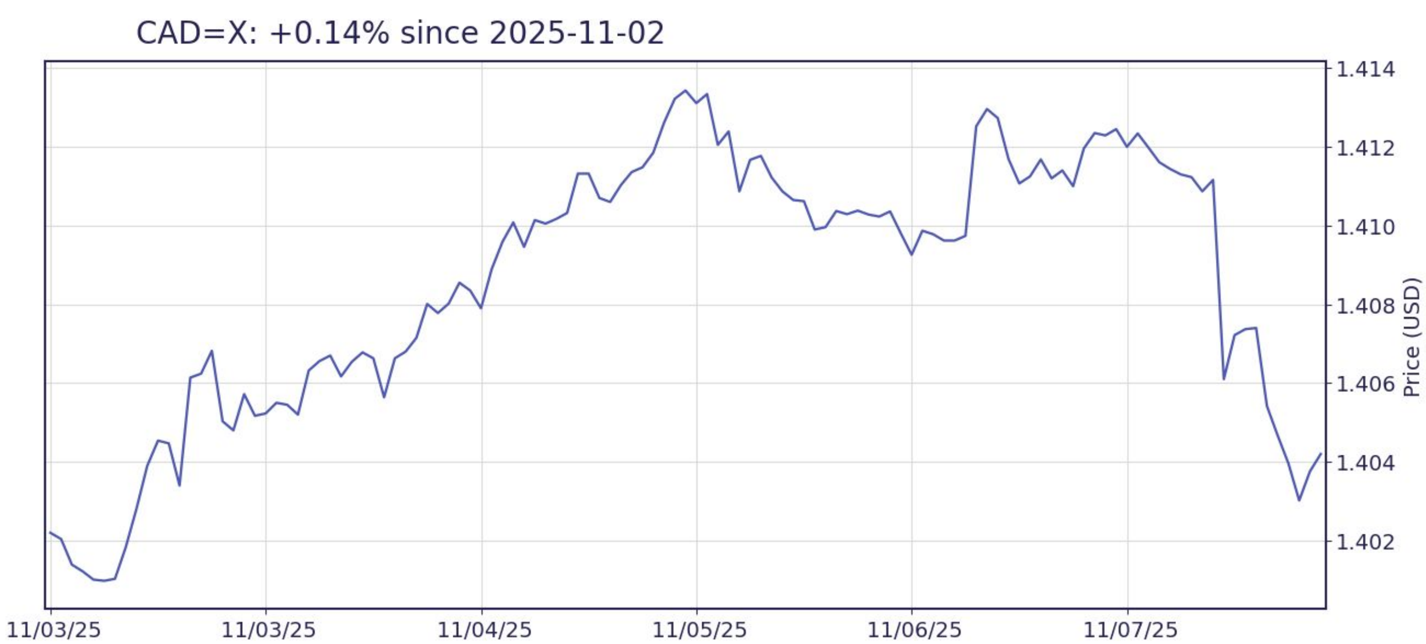
USD/CAD *Canadian Dollar Struggles for Momentum and Yield Gap Favors the U.S. Dollar*

The U.S. dollar improved against the Canadian dollar this week, with USD/CAD pushing toward the upper 1.38 range as the Canadian dollar struggled under broader market pressure. The dollar stayed strong overall, while commodity-sensitive currencies decreased and dealt with uncertainty around growth.

Oil prices slipped, with U.S. crude losing previous gains and closing out the week down by almost 2%, which placed strain on Canada's resource-driven economy. Recent Canadian inflation data also showed further cooling, reinforcing expectations that the Bank of Canada may remain prioritizing economic growth compared to the Federal Reserve. Even though the yield gap between Canadian and U.S. government bonds did narrow, the shift was not strong enough to support the CAD.

Market positioning leans toward the BoC considering rate cuts sooner than the Fed, maintaining a rate advantage in favor of the USD. Paired with slower energy revenue and lower export performance, the CAD has had difficulty recovering.

Looking ahead, USD/CAD could shift towards the 1.39 to 1.40 area if risk appetite continues being weak and oil prices don't stabilize. For the Canadian dollar to regain stability, there needs to be a more clear and assertive policy stance from the BoC pushing back against expectations for earlier rate cuts.



Currencies - EUR/USD

» Dev Chandarana, Currencies Analyst

Late-week dollar rebound caps euro; EUR/USD slips ~0.2% for the week

The euro ended slightly lower this week, with EUR/USD easing about 0.2% to ~1.152, after a choppy but contained trading range. The pair had held modest gains for much of the week but reversed course on Friday as a stronger-than-expected U.S. data release revived demand for the dollar. The move underscored how fragile sentiment remains around Federal Reserve policy expectations, with investors quick to re-price the timing of potential rate cuts.

From the Eurozone side, economic data offered little fresh momentum. Inflation readings continued trending near the European Central Bank's 2% target, while growth indicators remained subdued. The lack of a clear upside catalyst left the euro vulnerable to renewed dollar strength, especially as traders reassessed the global rate-differential outlook. Market consensus still points to the ECB holding steady into early 2026, barring a sharper slowdown in activity.

Technically, EUR/USD failed to hold above the 1.1550–1.1570 zone, turning that region into short-term resistance. Immediate support now sits around 1.1480, followed by stronger footing near 1.1400. A decisive close below 1.1450 could expose deeper losses, while a rebound through 1.1600 would be needed to restore upward momentum. The broader structure remains neutral-to-slightly bearish as long as the dollar stays bid.

Looking ahead, traders will focus on U.S. PCE inflation and consumer sentiment data, as well as any new ECB commentary. A softer U.S. print could reopen room for euro recovery, but another firm U.S. data surprise—like Friday's—would likely reinforce dollar strength and keep EUR/USD under pressure.

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